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Cobalt

Pentest as a Service

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Cobalt.io

Pentest as a Service

We are Productizing Security Talent

We combine talent and technology to deliver security services at scale - first step is owning the pentesting market. Cobalt.io is a SaaS Enabled Marketplace.

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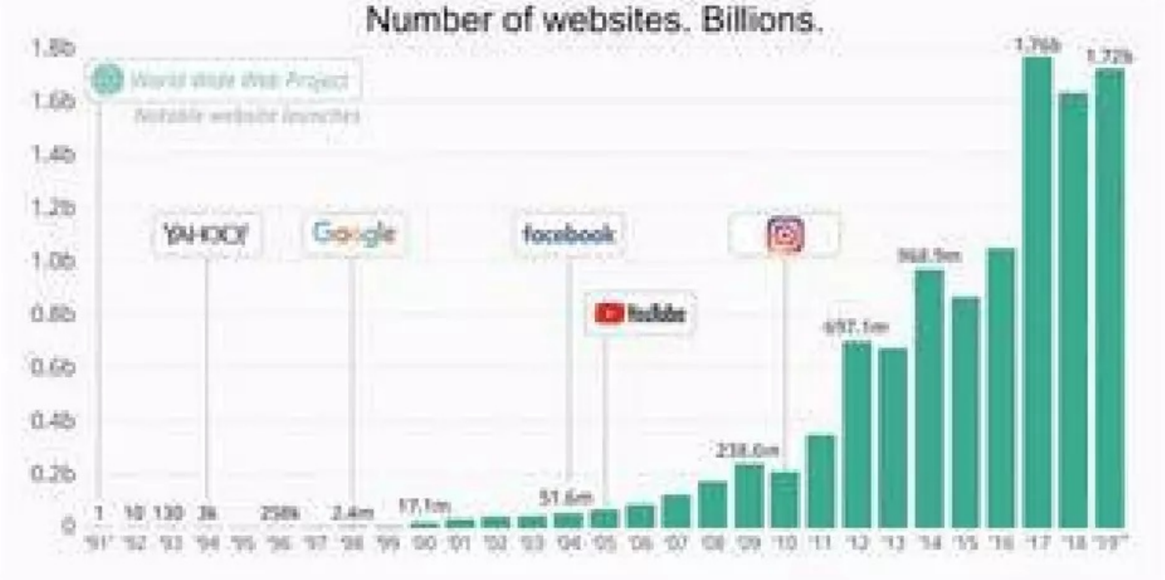
Cobalt.io - Quick Glance

REVENUE	**+$XXm ARR** We have spent $8m in cash to get here.
TEAM	**100+ FTEs** eNPS of 75 and strong management team
TRACTION	**500+ Customers** ~1 new client a day.

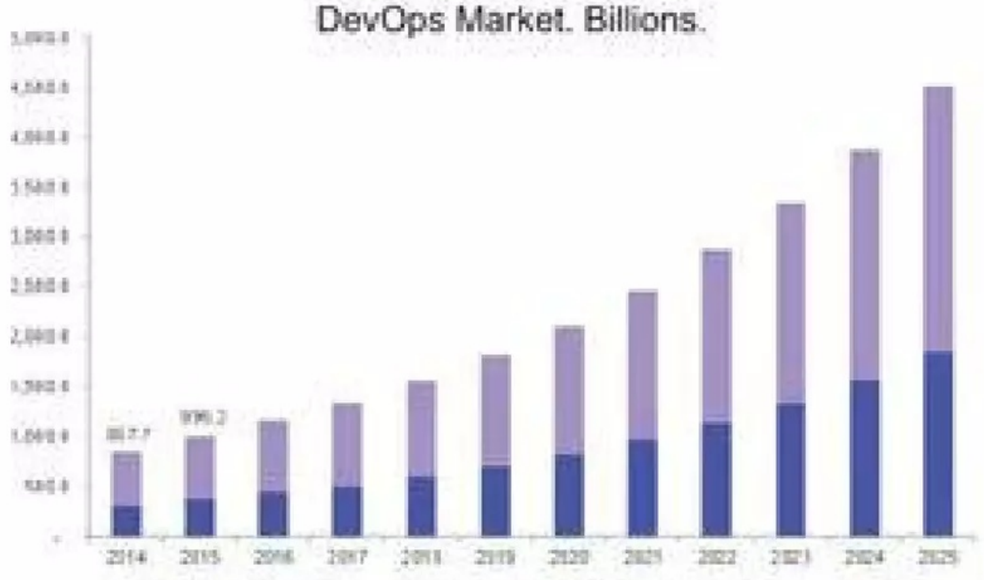
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Market Trends

More applications



Applications constantly changing



! Automation has failed to solve this. Consultancy model is not fit for this era.

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Market Overview

		Market Size
Automation	CHECKMARX, tenable, Qualys., WhiteHat, VERACODE, RAPID7	~$2B
Pentest	nccgroup, IOActive, Cigital, pwc, accenture, BISHOPFOX, OPTIV, NETSPI	~$10B
Bug Bounty	bugcrowd, hackerone, zerocopter, Synack	~$0.2B

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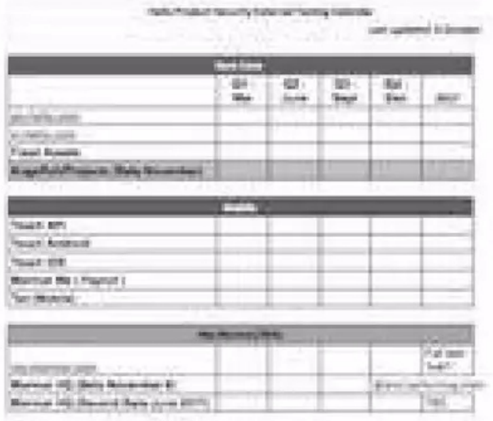
How are we **solving the problem?**

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Consultancies - Legacy Pentesting

Plan

Planning in Excel



Excel sheet management
SOW and paperwork

Source

Source local consultants

CALIBER
IOActive
OPTIV
CORE SECURITY
Cigital
accenture

$20k per test ($250/hr)
2 weeks to start a test

Test

Results delivered in PDF



PDFs are not dev friendly
No interaction during testing

Fix

Manually Log issues in Jira



Copy/pasting of data
Pay extra for re-testing

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Cobalt.io - Pentest as a Service

Plan

On-demand credits



Streamlined Procurement
Agile Consumption

Source

On-demand talent



Auto Matching
Improved Tester Utilization

Test

In-app delivery



Real time Collaboration
Automate tedious tasks

Fix

Integrate with devs



Seamless integrations
Find-to-Fix Analytics

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Automate the Pentest

Integrated Pentest Platform - 1-click pentesting



Delivery Improvement

10x

Speed to deliver
From weeks to 24 hours.
Real time interaction.

+25%

Cost Reduction
Massive ROI increase via better pricing and time saved.

0-1

Data and Analytics
Move from a ‘no-data’ to data-driven security.

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Cobalt Core - Community is an asset

Cobalt Core - A community of 300+ vetted Pentesters



Nuno Loureiro
Former head of AppSec at a bank
+10 years of security experience

"Cobalt has been such a fantastic addition to my life that I recommend it to all my peers."



Core Core - Key Stats

80+
Pentester NPS
Our community love Cobalt. Avg. pentester lifetime is 6+ years.

5%
Acceptance rate
100 inbound applicants/month. Pentester acquisition cost is $XX.

XX%
Net Dollar Delivery Retention
From our 2016 pentester cohort our NDR is XX% year.

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Who are we **competing against?**

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Market Overview - Competition

	Competitors	Frequency	Why Cobalt Wins
Consultancies	nccgroup, pwc, BISHOPFOX, OPTIV, Cigital, IOActive	Show up in XX % of deals	**Consultancies don't scale (static)** - Expensive because of all the inefficiencies. - Too slow. It takes weeks to schedule a test. - Don't have a product.
Bug Bounty	bugcrowd, hackerone, zerocopter, Synack, YES WE HACK, INTIGRITI	Show up in XX % of deals	**Contest Model is not fit for services (sporadic)** - Lack of predictability because testers choose tasks. - Lack of methodology because you reward bugs. - Lack of quality because model rewards quantity.

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What we have achieved

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3 years of accelerated growth

3 years of exponential ARR growth, **$XXm ARR achieved**



Net Quarterly ARR contribution

Key Metrics

2x **Capital Efficiency**
Cash flow positive in 2020 while growing ARR.

XX **New clients last 12 months**
Highly scalable SMB GTM.

XX **Months to CAC recovery**
We sell 'services' at XX% gross margin and recover CAC quickly.

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Blended Service/SaaS Unit Economics. Strong CAC<>LTV.

Cobalt: Revenue Churn



SMB
(0-200 empl)

Corporate
(200-1000 empl.)

Enterprise
(1001+ empl.)

Cobalt: CAC <> LTV



SMB
(0-200 empl)

Corporate
(200-1000 empl.)

Enterprise
(1001+ empl.)

Transforming a service industry

A note on churn

- SMB segment has higher churn
- Service industry has episodic buying patterns
- Long term trend a blend of SaaS/Service.

Improving retention

- Shift GTM from 'pentest' to 'pentest programs'
- Pricing incentives for recurrence
- Integrations and data-stickiness

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Velocity 6-figure deals in Mid-Market due to 'service component'.

Customer Name Redacted

Account Details
- 200 FTE Bay Area Account.
- Sold to Director of Security.
- 6 credits => 32 credits



Customer Name Redacted

Account Details
- 400 FTE Canadian Account.
- Sold to Director of Security.
- 15 credits => 70 credits



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Early signs of Enterprise Traction

HubSpot



Why HubSpot Moved to a Tech-Forward Approach to Pentesting:

Verifone



How Verifone Pentests at the Speed of Development:

axel springer



How Axel Springer Leverages Continuous Pentesting:

zuora

GoDaddy

paloalto NETWORKS

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Founders & Board

Founders



Jacob Hansen
CEO & Co-Founder



Christian Hansen
CTO & Co-Founder



Jakob Storm
Product Architect & Co-Founder



Esben Friis Jensen
CCO & Co-Founder

Board



Eric Lagier
ByFounders - Series A

New Investor
Series B



Michele Law
OpenDNS



Julie Cullivan
Forescout, Fireeye

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Executive Team



Caroline Wong
Chief Strategy Officer

Symantec ebay



Karen Nguyen
VP of Sales

Elance 2Desk Upwork



Matt Edwards
VP of Customer Success

ShoreTel



Chris Tilton
VP of Marketing



Georgi Staykov
VP of Engineering



Penelope Yao
Director of Product

BLUEBOX THE LINUX FOUNDATION



Ray Espinoza
Director of Security

amazon

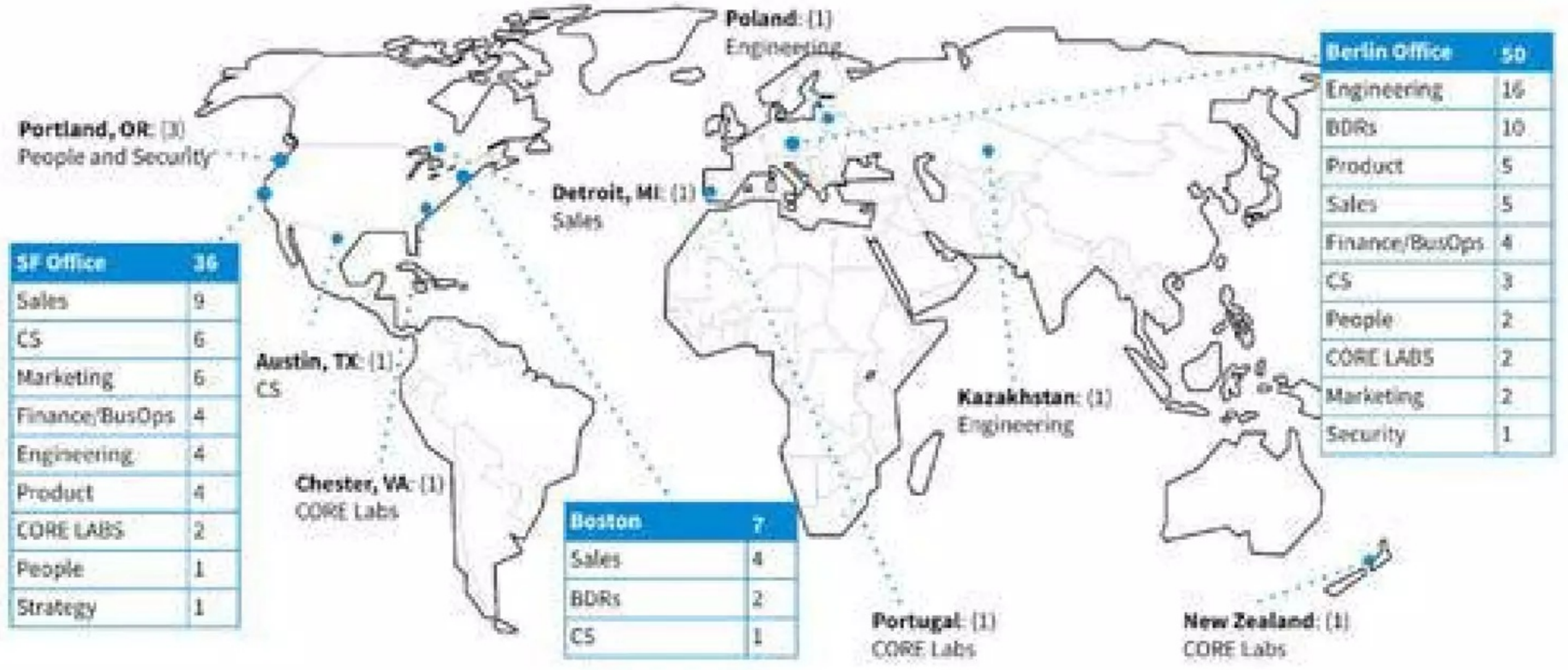


Martin Rannje
VP of Finance

EY

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Globally Distributed Team - 100+ FTEs



SF Office	36
Sales	9
CS	6
Marketing	6
Finance/BusOps	4
Engineering	4
Product	4
CORE LABS	2
People	1
Strategy	1

Boston	7
Sales	4
BDRs	2
CS	1

Berlin Office	50
Engineering	16
BDRs	10
Product	5
Sales	5
Finance/BusOps	4
CS	3
People	2
CORE LABS	2
Marketing	2
Security	1

100%
Headcount growth in 2019

75
eNPS

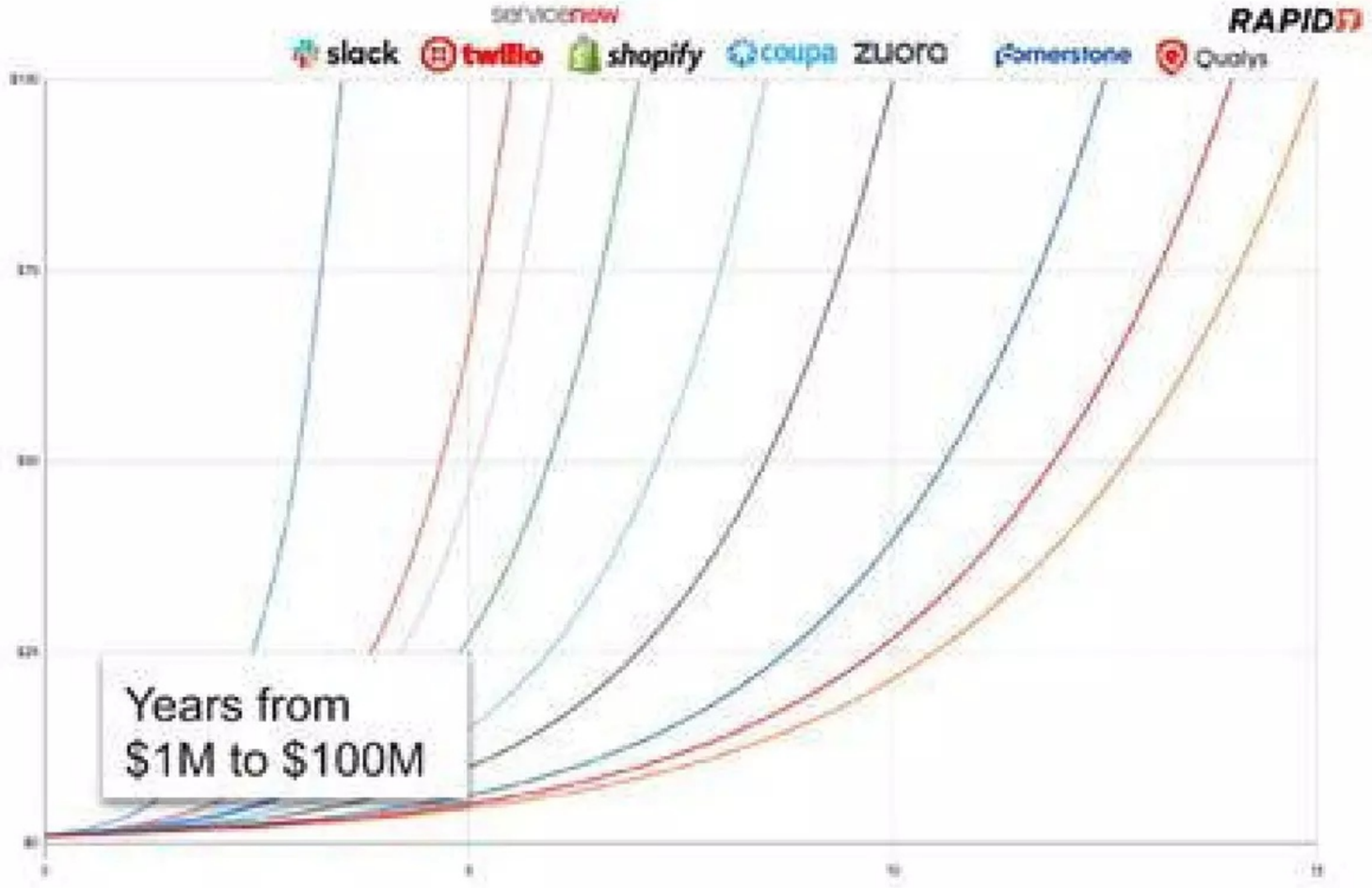
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Glassdoor Rating

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Path to $100m is about execution

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Path to $100m in 2023



Path to $100m by 2023

2,500
Customers

400
Employees

1,000
Pentesters

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We are on a journey.

From Pentest to Platform.

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Cobalt.io - Summary

TEAM	**100+ FTEs** eNPS of 75 and strong management team.
BIG MARKET	**Big Security Services Market** We win in SMB which is difficult for many security companies. We turn services into SaaS with XX% GM.
CAPITAL EFFICIENCY	**2x Capital Efficiency** Looking to raise ~$XXm in Series B.

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Cobalt.io

